

Partly because sell recommendations are so rare, they tend to be better.

Based on personal experience, it's easier to ferret out negative information. If a company has taken advantage of permissible accounting rules and has overstated earnings, that will catch up with it eventually. Or if a company has a fundamental problem, such as inventory accumulation in the face of declining orders, that will surface sooner or later. Since it's already in the works, the bad news will get out and the stock will probably decline. If you're betting on the long side, frequently you're depending on a prediction that may not work out.

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For example, XYZ has a terrific product and forecasters estimate that sales and earnings should grow 20% a year for the next five years. All too often, unexpected competition appears or the economy turns down, and the earnings don't climb as anticipated. It's harder for a story on the long side to work out as well as one on the short side. Once the bad news is in the can, it's there and you can't get rid of it. Eventually the stock should get hit. That's why I think playing the short side is easier than the long side. Of course, short selling in the wrong market can kill you. You don't want to sell short in a bull market unless you are hedging something.

I happen to feel comfortable with short selling, a practice I think is terribly misunderstood, and have written this chapter to clear up some of the misconceptions about this investment strategy. *However, at this point I am not recommending that the average investor engage in short selling. I consider it a supplemental strategy for the really sophisticated investor.*